BIZ-OMICS

The Credit Ratings Starter: Can the UK keep its AA?

A-Level Economics · Fiscal policy, national debt & fiscal discipline · Calculation & multiple-choice starter

Name:	Class:	Date:

1 The news

What happened?

30 October 2024, Rachel Reeves's first Budget. The new Chancellor rewrote the UK's fiscal rules. Day-to-day spending must be paid for by tax, but the government may **borrow to invest**. She also changed the way debt is measured, from **public sector net debt** (PSND) to **public sector net financial liabilities** (PSNFL), which subtracts financial assets the state owns, such as student loans owed to it. The IFS estimated the switch would have created about **£53 billion** of extra room under the debt rule.

The market reaction. Gilt yields rose when she confirmed the change on 24 October, fell during her speech, then jumped once the OBR showed borrowing would be about **£28 billion a year higher** than planned. The 10-year yield hit **4.57%** the next day, its highest since August 2023. Gilts sold off, but this was no repeat of the 2022 mini-budget crisis.

November 2025. Reeves tightened the framework further: the OBR now judges the rules **once a year**, at the Budget, and from 2026-27 the target is always the **third year** of the forecast.

2026: the rules are tested. On 20 July, new Prime Minister Andy Burnham said he would keep the rules but "use any flexibility within them". The 30-year yield jumped 0.1 percentage points. On 28 October, Chancellor John Healey's Budget **kept Reeves's rules** in full, and yields edged down.

Reeves's two fiscal rules

1. The stability rule
The **current budget** (tax minus day-to-day spending) must be in balance by the third year of the forecast. From 2026-27, "balance" means within **±0.5% of GDP**. Borrowing for investment is allowed: this is a **golden rule**.

2. The investment rule
PSNFL must be falling as a share of GDP by the target year. Old measure: ~~PSND excluding the Bank of England~~. The new measure counts the government's financial assets as well as its debts.

Why did she change them?

Protect investment. Under the old debt rule, cutting capital spending was the easiest way to hit the target, even when the projects would pay off.

A truer balance sheet. Lending to students or buying a stake in a firm creates an asset. PSNFL counts that asset, not just the borrowing.

Credibility after 2022. Fixed rules, a "fiscal lock" requiring the OBR to check every major fiscal event, and one judgement a year all aim to reassure markets.

TELL ME WHY

A government that sticks to its fiscal rules can usually borrow more cheaply. **Tell me why.**

> Lenders buy gilts only if they are confident they will be repaid in full and that inflation will not erode the value of their money. Credible rules lower the **risk premium** they demand, so yields and debt interest stay lower. The rating agencies say this outright: Moody's said in November 2025 that it expected measures "consistent with the government-defined fiscal rules" when it affirmed the UK's Aa3 rating.

2 The data

Figure 1: Where does the UK sit on the ratings ladder?

Moody's	S&P	Fitch	Meaning
Aaa	AAA	AAA	Highest quality
Aa1	AA+	AA+	Very high quality
Aa2	**AA**	AA	
Aa3	AA−	**AA−**	
A1	A+	A+	High quality
A2	A	A	
A3	A−	A−	
Baa1	BBB+	BBB+	Lower investment grade
Baa2	BBB	BBB	
Baa3	BBB−	BBB−	
Ba1	BB+	BB+	"Junk"

Black cell = the UK's rating today. Each step on the ladder is one **notch**. The dashed line marks the bottom of **investment grade**: many pension funds and insurers are not allowed to hold bonds below it.

Agency	UK rating	Outlook	Last confirmed
Moody's	Aa3	Stable	Nov 2025 (next review 20 Nov 2026)
S&P	AA	Stable	Apr 2026
Fitch	AA−	Stable	Aug 2026

An **outlook** (stable, negative, positive) signals which way the next move is likely to go.

Table 1: How the UK lost its AAA

Date	Agency	From	To	Main reason given
Feb 2013	Moody's	Aaa	Aa1	Weak growth; debt rising for longer than planned
Apr 2013	Fitch	AAA	AA+	Debt forecast to peak later and higher
Jun 2016	S&P	AAA	AA	Brexit vote (a two-notch cut)
Jun 2016	Fitch	AA+	AA	Brexit vote
Sep 2017	Moody's	Aa1	Aa2	Brexit uncertainty; slower deficit reduction
Mar 2020	Fitch	AA	AA−	Covid-19 borrowing; weaker public finances
Oct 2020	Moody's	Aa2	Aa3	Weaker growth; Covid-19; Brexit
Sep–Oct 2022	S&P, Fitch	Stable	Negative	Mini-budget: unfunded tax cuts (outlooks only; back to stable by 2024)

Sources: Moody's, S&P Global Ratings, Fitch Ratings rating actions.

Table 2: The 10-year gilt yield at key moments

Date	Event	10-year yield
Mid-Sep 2024	Low point before the Budget build-up	3.73%
24 Oct 2024	Reeves confirms the switch to PSNFL (yields up 0.08 percentage points on the day)	4.26%
30 Oct 2024	Budget speech: low point while she was speaking	4.20%
31 Oct 2024	Day after: markets digest OBR forecast of extra borrowing	4.57%
20 Jul 2026	Burnham: "use any flexibility" in the rules (30-year: +0.1 percentage points to 5.73%)	5.02%
8 Oct 2026	Energy-price shock and rate-rise fears: highest since July 2007	5.53%
28 Oct 2026	Healey's Budget keeps Reeves's rules (down 0.02 percentage points)	5.32%

Sources: Tradeweb, LSEG and Bloomberg data via Reuters, Alliance News, IG; figures rounded.

Table 3: The public finances (OBR, October 2026)

£109bn Debt interest in 2025-26 (**3.5% of GDP**). Forecast: **£160bn** (4.2% of GDP) by 2031-32	**96% / 83%** Net debt (PSND) / net financial liabilities (PSNFL) as a share of GDP in 2026-27	**£134bn** Borrowing in 2025-26 (4.4% of GDP), forecast to fall to **£67bn** by 2030-31
£15bn **Headroom**: the margin by which the stability rule is met in 2029-30. It was **£22bn** at the November 2025 Budget	**≈ £30bn** Average headroom Chancellors have kept since the OBR began in 2010	**£16bn** Change in borrowing from a **1 percentage point** change in gilt yields and Bank Rate

Source: OBR, Economic and fiscal outlook, 28 October 2026. In October 2024, headroom against the stability rule was just £9.9bn, and the OBR estimated borrowing would be £28.4bn a year higher on average than previous plans.

TELL ME WHY

A credit rating downgrade can become **self-fulfilling**. **Tell me why.**

> A downgrade makes gilts look riskier, so investors demand a higher yield. As old debt is refinanced, debt interest rises, which widens the deficit and adds to debt. That weakens the public finances, which is exactly what agencies look at, so the risk of another downgrade grows. With £109bn already going on interest, each rise in yields is costly (£16bn per percentage point).

3 Calculation tasks

Show your working. Round money to 3 significant figures and percentages to 1 decimal place.

READ THE DATA

Figure 1 · Table 1

1. How many notches below the top rating is the UK with each agency? How many notches has the UK lost in total across all three agencies since 2012?

> Moody's: Aaa → Aa3 = **3 notches** · S&P: AAA → AA = **2 notches** · Fitch: AAA → AA− = **3 notches**
>
> Total = **8 notches**. The 2022 changes were outlooks, not ratings, so they do not count.

CALCULATE

Table 2

2. (a) Calculate the rise in the 10-year gilt yield between mid-September 2024 and 31 October 2024, in percentage points and as a percentage change.
(b) How many percentage points higher was the yield on 8 October 2026 than in mid-September 2024?

> (a) 4.57 − 3.73 = **0.84 percentage points**. Percentage change: 0.84 ÷ 3.73 × 100 = **22.5%**
>
> (b) 5.53 − 3.73 = **1.80 percentage points**

CALCULATE

Bond maths

3. A gilt has a face value of £100 and pays a fixed **coupon** of £4 a year. Its yield = coupon ÷ price × 100.
(a) What is its yield if it sells for £100? (b) Investors sell and its price falls to £80. What is the yield now? (c) At what price would its yield equal 5.32%, the 10-year yield after Healey's Budget?

> (a) 4 ÷ 100 × 100 = **4.0%**
>
> (b) 4 ÷ 80 × 100 = **5.0%**
>
> (c) Price = 4 ÷ 0.0532 = **£75.19**
>
> The coupon is fixed, so when the **price falls, the yield rises**. New gilts must then offer higher coupons to sell.

CALCULATE

Table 3

4. (a) Debt interest of £109bn is 3.5% of GDP. Use this to estimate UK GDP in 2025-26.
(b) Calculate the percentage increase in debt interest between 2025-26 (£109bn) and 2031-32 (£160bn).
(c) By how many percentage points does debt interest rise as a share of GDP?

> (a) £109bn ÷ 0.035 = **£3,110bn** (about £3.1 trillion)
>
> (b) (160 − 109) ÷ 109 × 100 = **46.8%**
>
> (c) 4.2 − 3.5 = **0.7 percentage points**. Debt interest is growing faster than the economy, so it squeezes the money left for schools and hospitals.

CALCULATE

Table 3

5. In 2026-27, PSND is 96% of GDP but PSNFL is only 83%. Using GDP of £3.1 trillion, calculate the value of the financial assets that PSNFL subtracts. Why does this make the investment rule easier to meet?

> Gap = 96 − 83 = 13 percentage points of GDP
>
> 0.13 × £3,100bn = **£403bn** of financial assets (student loans, equity stakes, funded pension assets and similar)
>
> Lending that creates an asset, such as a loan to a student or to a firm, adds to PSND but leaves PSNFL largely unchanged. That gives the Chancellor more room to borrow for investment.

CALCULATE

Table 3

6. (a) Headroom is £15bn, and a 1 percentage point rise in yields and Bank Rate adds £16bn to borrowing. How large a rise in yields, in percentage points, would wipe out the headroom completely?
(b) Calculate the percentage fall in headroom since the November 2025 Budget (£22bn), and today's headroom as a percentage of the £30bn average since 2010.

> (a) 15 ÷ 16 = **0.94 percentage points**. Yields rose by more than that between March and October 2026 (Table 2), so headroom can disappear within months.
>
> (b) (22 − 15) ÷ 22 × 100 = **31.8% fall**. 15 ÷ 30 × 100 = **50%**: only half the usual safety margin.

CALCULATE

Tables 2 & 3

7. (a) After Burnham's comments the 30-year yield rose by 0.1 percentage points. If the government then sold £10bn of new 30-year gilts, how much extra interest would it pay each year, and over the life of the gilts?
(b) The OBR said Reeves's 2024 Budget raised borrowing by £28.4bn a year on average over five years. Calculate the total extra borrowing.

> (a) 0.1% × £10bn = **£10m a year**; × 30 years = **£300m** in total, from a single sentence.
>
> (b) £28.4bn × 5 = **£142bn**

4 Calculation tasks: the rule change in numbers

Table 4: What did the rule change do to the public finances?

The OBR's verdict on Reeves's October 2024 Budget, compared with the previous government's March 2024 plans.

Measure	Previous plans (Mar 2024)	Reeves's Budget (Oct 2024)
Public sector net investment	Falls from 2.5% of GDP (2023-24) to **1.7%** in 2028-29	Averages **2.6% of GDP** over the Parliament
Extra capital investment	–	**£100bn+** over five years (£28bn extra in 2028-29 alone)
Extra spending from Budget policies	–	**£69.5bn a year** on average from 2025-26 (about half funded by tax rises)
Extra borrowing from Budget policies	–	**£32.3bn a year** on average, 2025-26 to 2029-30 (1.0% of GDP)
Old debt rule: PSND ex BoE falling in year 5	Met	**Missed by £6bn**: this measure rises in every year of the forecast
New debt rule: PSNFL falling in 2029-30	–	**Met by £16bn**
Stability rule: current budget balanced in 2029-30	–	**Met by £9.9bn** (0.3% of GDP; 54% chance of being met)

Sources: OBR, Economic and fiscal outlook, October 2024; HM Treasury, Autumn Budget 2024; IFS; Fraser of Allander Institute. The OBR called it one of the largest increases in borrowing outside a crisis since the March 1992 Budget.

£53bn
Extra room the switch to PSNFL would have created at the March 2024 Budget (IFS)

+0.4% / +2.4%
Rise in potential output after **5 / 50 years** from a permanent 1% of GDP rise in public investment (IFS)

£9.9bn → £22bn → £15bn
Headroom against the stability rule: Oct 2024 → Nov 2025 → Oct 2026

All questions use Table 4. Use GDP of £3.1 trillion unless told otherwise.

CALCULATE

Table 4

8. Under the previous plans, investment would have fallen to 1.7% of GDP in 2028-29. Reeves's plans keep it at about 2.6%.
(a) Calculate the difference in percentage points. (b) Convert it into £bn. Does your answer match the IFS figure of £28bn extra in 2028-29?

> (a) 2.6 − 1.7 = **0.9 percentage points** of GDP
>
> (b) 0.009 × £3,100bn = **£27.9bn**, which matches the IFS's £28bn. Without the rule change, this investment would have been cut.

CALCULATE

Table 4

9. Budget policies added £69.5bn a year to spending and £32.3bn a year to borrowing.
(a) What percentage of the extra spending was funded by borrowing? (b) How much was funded by tax rises, in £bn and as a percentage?

> (a) 32.3 ÷ 69.5 × 100 = **46.5%**
>
> (b) 69.5 − 32.3 = **£37.2bn** = **53.5%**, which is why the OBR described it as roughly half tax, half borrowing.

CALCULATE

Table 4

10. (a) Calculate the total extra borrowing from Budget policies over the five years 2025-26 to 2029-30.
(b) If all of it were financed with gilts at a yield of 4.5%, how much extra debt interest would the government pay **each year**?
(c) Express your answer to (b) as a percentage of the £9.9bn headroom.

> (a) £32.3bn × 5 = **£161.5bn**
> (b) 0.045 × £161.5bn = **£7.27bn a year**, every year, for as long as the debt is outstanding
> (c) 7.27 ÷ 9.9 × 100 = **73%**. The interest on the extra borrowing alone is close to the whole safety margin.

CALCULATE

Table 4

11. (a) Under the old rule the Budget would have **missed** by £6bn; under the new rule it **passed** by £16bn. Calculate the swing created by changing the measure.
(b) The IFS estimated the switch would create about £53bn of room. Roughly what percentage of that room was left unused after the Budget?

> (a) 16 − (−6) = **£22bn swing** from changing the definition of debt, not from any change in actual borrowing
> (b) 16 ÷ 53 × 100 ≈ **30% left unused**, so roughly 70% was spent straight away. (This is only rough: the £53bn was measured on March 2024 forecasts.)

CALCULATE

Table 4

12. The IFS estimates that a permanent rise in public investment of 1% of GDP raises potential output by 0.4% after 5 years and 2.4% after 50 years. Reeves's plans keep investment about 0.9% of GDP higher (Q8).
(a) Estimate the boost to output after 5 years and after 50 years, as a percentage and in £bn. (b) Compare these with the £32.3bn a year of extra borrowing. What does this suggest?

> (a) 5 years: 0.9 × 0.4 = **0.36%** → 0.0036 × £3,100bn ≈ **£11.2bn** of extra GDP a year
> 50 years: 0.9 × 2.4 = **2.16%** → ≈ **£67.0bn** a year
> (b) The payoff is small at first and well below the extra borrowing, but it grows over decades. Borrowing to invest only "pays for itself" if the investment is sustained, spent well and markets stay patient. Rising yields could wipe out the gain first.

TELL ME WHY

Critics say "debt is debt" and that switching to PSNFL just **moved the goalposts**. **Tell me why**, then give one counter-argument.

> **Critics:** the government must still sell the same gilts and pay the same interest, whatever measure it targets. Assets such as student loans are hard to value and may never be fully repaid, so the rule is easier to game. And the new room was used straight away: £32.3bn a year of extra borrowing.
> **Counter:** the old rule rewarded cutting investment (heading for 1.7% of GDP), even where projects would raise growth and future tax revenue. A loan or a capital project creates an asset, so a balance-sheet measure gives a truer picture.

5 Multiple choice

Circle one answer for each question.

MULTIPLE CHOICE

13. A rating agency downgrades the UK from AA to AA−. What is the most likely **immediate** effect?

(A) Gilt prices rise and yields fall

(B) **Gilt prices fall and yields rise**

(C) The Bank of England must raise Bank Rate

(D) The government is legally required to cut spending

> Riskier debt means investors pay less for it, so its yield rises. Neither the Bank of England nor the government is forced to act.

MULTIPLE CHOICE

14. Reeves's **stability rule** requires that:

(A) Total government borrowing is zero by the target year

(B) **Day-to-day spending is paid for by revenue; borrowing is only for investment**

(C) Net debt stays below 60% of GDP

(D) Debt interest stays below 3% of GDP

> This is a "golden rule": the current budget must balance, but borrowing to invest is still allowed. A is wrong because total borrowing (£67bn in 2030-31) can stay positive.

MULTIPLE CHOICE

15. Why did switching from PSND to PSNFL create around £50bn of extra room?

(A) It ignores debt held by the Bank of England

(B) **It subtracts financial assets, such as student loans owed to the state**

(C) It counts schools and hospitals as assets

(D) It leaves debt interest out of the calculation

> C describes public sector net **worth**, an even broader measure that Reeves chose not to use.

MULTIPLE CHOICE

16. On 30 October 2024, the 10-year yield fell during Reeves's speech but reached 4.57% the next day. What best explains the rise?

(A) The UK was downgraded that day

(B) **The OBR showed much higher borrowing, and markets expected fewer interest rate cuts**

(C) The Bank of England raised Bank Rate

(D) The fiscal rules were scrapped

> More gilt supply (about £28bn a year) and a more inflationary budget meant the Bank was expected to cut rates more slowly, so investors demanded higher yields.

MULTIPLE CHOICE

17. Since Reeves's November 2025 Budget, how often does the OBR judge whether the fiscal rules are being met?

(A) Every month

(B) Twice a year

(C) **Once a year, at the Budget**

(D) Only before a general election

> The aim was to stop the cycle of speculation and policy changes around every spring forecast. The March 2026 forecast therefore made no judgement on the rules.

MULTIPLE CHOICE

18. Burnham promised to keep the rules but "use any flexibility", and the 30-year yield rose 0.1 percentage points. Which idea best explains this?

(A) Crowding out of private investment

(B) **Fiscal credibility: lenders want a higher risk premium if discipline looks weaker**

(C) A liquidity trap

(D) The J-curve effect

> Rules that are met "technically but not in spirit" are less believable. Bond investors ("bond vigilantes") respond by charging more to lend.